

Part 2 of Reading List

IV. PRICE DISPERSION AND SEARCH

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- De los Santos, "Consumer Search on the Internet", mimeo, Indiana University, 2012.
- †Sweeting, "Price Dynamics in Perishable Goods Markets: The Case of Secondary Markets for Major League Baseball Tickets", forthcoming, *Journal of Political Economy*.
- Williams, "Dynamic Airline Pricing and Seat Availability", Minnesota, 2013.
- †Marshall, "Search and Wholesale Price Discrimination", mimeo, Northwestern, 2013
- †Busse, Israeli and Zettelmeyer, "Repairing the Damage: The Effect of Price Expectations on Auto-Repair Price Quotes", mimeo, 2013.
- †De los Santos, Hortacsu, and Wildenbeest, "Testing Models of Consumer Search Using Data on Web Browsing and Purchasing Behavior", *American Economic Review*, 102(6), October 2012.
- †Starc, "Insurer Pricing and Consumer Welfare: Evidence from Medigap", mimeo, Wharton, 2012.

V. PRODUCT DIFFERENTIATION

- Tirole ch. 2.1 (monopoly) & 7 (product differentiation in strategic interaction)
- Nevo, "Empirical Models of Consumer Behavior," NBER Working Paper 16511, October 2010.
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- Bresnahan, "Competition and Collusion in the American Automobile Market: The 1955 Price War," *Journal of Industrial Economics*, 35 (June 1987), 457-482.
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- Berry, "Estimating Discrete-Choice Models of Product Differentiation", *Rand Journal of Economics*, 25(2), 1994, 242-262.
- *Nevo, "A Practitioner's Guide to Estimation of Random Coefficients Logit Models of Demand," *Journal of Economics and Management Strategy*, 9 (Winter 2000), 513-548.
- †Knittel, Christopher and Konstantinos Metaxoglou, "Estimation of Random Coefficient Demand Models: Challenges, Difficulties, and Warnings", forthcoming, *Review of Economics and Statistics*.
- *Nevo, "Mergers and Differentiated Products: The Case of the Ready-To-Eat Cereal Industry," *Rand Journal of Economics*, 31 (Autumn 2000), 395-421.
- †Weinberg and Hosken, "Evidence on the Accuracy of Merger Simulations", forthcoming, *Review of Economics and Statistics*.
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- *Berry, Levinsohn and Pakes, "Differentiated Products Demand Systems from a Combination of Micro and Macro Data: The New Vehicle Market," *Journal of Political Economy*, 112(1): 68-104, 2004.
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VI. APPLICATIONS IN CONSUMER BEHAVIOR, CHOICE, AND INERTIA

Health Applications:

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- Abaluck and Gruber, "Choice Inconsistencies Among the Elderly: Evidence from Plan Choice in the Medicare Part D Program", *American Economic Review*, 101(4), 2011.
- †Starc, "How Product Standardization Affects Choice: Evidence from the Massachusetts Health Insurance Exchange", mimeo 2013.

Retirement and Investment Applications:

Luco, “Switching Costs and Competition in Retirement Investment”, mimeo, Northwestern, 2013.

†Hortacsu and Syverson, “Product Differentiation, Search Costs, and Competition in the Mutual Fund Industry: A Case Study of the S&P 500 Index Funds”, *Quarterly Journal of Economics*, 119(2), 2004.

†*Duarte and Hastings, “Fettered Consumers and Sophisticated Firms: Evidence from Mexico’s Privatized Social Security Market”, NBER Working Paper 18582, 2012.

Hastings, Hortacsu, and Syverson, “Advertising and Competition in Privatized Social Security: The Case of Mexico”, NBER Working Paper 18881, 2013.

Energy Applications:

*Allcott and Wozny, “Gasoline Prices, Fuel Economy, and the Energy Paradox”, *Review of Economics and Statistics*, forthcoming.

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Anderson, Kellogg, Langer and Sallee, “The Intergenerational Transmission of Automobile Brand Preferences: Empirical Evidence and Implications for Firm Strategy”, NBER WP 19535, 2013.

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Allcott and Greenstone, “Is there an Energy Efficiency Gap?”, *Journal of Economic Perspectives*, 26(1), 2012.

Other Applications:

(Telecom) Grubb and Osborne, “Cellular Service Demand: Biased Beliefs, Learning, and Bill Shock”, mimeo, 2013.

* (School Choice) Hastings, Kane and Staiger, “Heterogeneous Preferences and the Efficacy of School Choice”, NBER Working Paper, 12145, 2010.

† (Brand Preference) Bronnenberg, Dube, and Gentzkow, “The Evolution of Brand Preferences: Evidence from Consumer Migration”, *American Economic Review*, 102(6), October 2012.

VII. STATIC MODELS OF OLIGOPOLY

Tirole, Ch 5.

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- Davidson and Deneckere, "Long-run Competition in Capacity, Short-run Competition in Price, and the Cournot Model," *Rand Journal of Economics*, 17 (Autumn 1986), 404-415.
- Klemperer and Meyer, "Supply Function Equilibria in Oligopoly Under Uncertainty," *Econometrica*, 57 (November 1989), 1243-1277.

VIII. DYNAMIC MODELS OF OLIGOPOLY

- Tirole, Ch 6.
- *Porter, "Optimal Cartel Trigger Price Strategies", *Journal of Economic Theory*, 29 (1983), 313-338.
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IX. TESTING OLIGOPOLY MODELS

- *Bresnahan, "Empirical Studies of Industries with Market Power", Handbook of Industrial Organization, Richard Schmalensee and Robert D. Willig editors, volume 2 (1989), 1011-1057.
- Bresnahan, "Testing and Measurement in Competition Models", Chapter 3 (pp. 61-81) from Advances in Economics and Econometrics: Theory and Applications (Seventh World Congress: Volume III), Cambridge University Press.
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- *Porter, "A Study of Cartel Stability: The Joint Executive Committee 1880-1886," *Bell Journal of Economics*, 14 (Autumn 1983), 301-314.
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- Corts, "Conduct Parameters and the Measurement of Market Power," *Journal of Econometrics*, 88 (November 1998), 227-250.
- Puller, "Pricing and Firm Conduct In California's Deregulated Electricity Market," *Review of Economics and Statistics*, 89(1): 75-87, February 2007.

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- Chevalier, Kashyap, and Rossi, "Why Don't Prices Rise During Periods of Peak Demand? Evidence from Scanner Data", *American Economic Review*, March 2003.
- †Busse, "Firm Financial Condition and Airline Price Wars", *Rand Journal of Economics*, 33 (Summer 2002), 298-318.
- Joskow, "Regulation and Deregulation After 25 Years: Lessons Learned for Research in Industrial Organization", *Review of Industrial Organization*, 26 (October 2004), 169-193.

And if we have time...

X. PROCUREMENT AND AUCTIONS

- *Krishna, Vijay (2002), Auction Theory, Academic Press. (specific sections that I will assign)
- Villas-Boas, Sofia. (2006) "An Introduction to Auctions," *Journal of Industrial Organization Education*: Vol. 1 : Iss. 1, Article 5.
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- *Hortacsu and Puller, "Understanding Strategic Bidding in Multi-Unit Auctions: A Case Study of the Texas Electricity Spot Market", *Rand Journal of Economics*, 39(1): 86-114, Spring 2008.
- Wolfram, "Strategic Bidding in a Multiunit Auction: An Empirical Analysis of Bids to Supply Electricity in England and Wales," *Rand Journal of Economics*, 29 (Winter 1998), 703-725.
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